



ity, as pirated products and software become prevalent.

Further financial challenges impact micro, small, and medium enterprises (MSMEs), particularly post-Covid, as delayed client payments strain working capital. Urgent measures are needed, such as reintroducing a functional bill discounting system. The current system is misimplemented, limiting SMEs' access to funds. Addressing these challenges is crucial to supporting local manufacturing and sustaining MSMEs' growth.

Can you tell us how CIMEI helps address these challenges?

We consistently and proactively engage with the government and implementing authorities to ensure they promptly address such issues and complaints that land on the CIMEI portal. We communicate the concerns to the relevant authorities, whether from members or non-members. We have been successful in resolving many procurement-related grievances in India. We handle the grievance redressal for procurement procedures in India through NCSI.

We are committed to resolving these problems promptly. We have even challenged MNCs on certain issues, and our efforts have resulted in serious discussions with them. The MNCs have contacted us for further discussions, realising the importance of the matter. It shows that challenging MNCs is possible with strong determination and backed by credible data. We are committed to doing just that, as I will not disappoint my members on any issues.

How can government incentive schemes be made more MSME inclusive?

It is evident that the government's focus on providing relief to the MSME sector lacks clarity and action. In 2020, the government's decision to instruct all factories to close down resulted in

significant production losses, causing a huge financial burden for businesses. Based on turnover and growth, the existing schemes do not seem to incentivise productivity effectively. The productivity-linked incentives that were supposed to be provided have not materialised, and it appears that the government is more concerned with attracting foreign investment than supporting the growth of domestic MSMEs.

Regarding the production-linked incentive (PLI) scheme, the government has disbursed a relatively small amount of funds to a limited number of companies, leaving many businesses without assistance. The conflicting statements from the government and the Reserve Bank of India regarding NPAs and financial support further add to the controversy and uncertainty surrounding the situation. These issues need to be addressed and resolved for the betterment of the MSME sector. Transparency, clear policies, and effective implementation of relief measures are essential to support the growth and recovery of small and medium-sized businesses in the country.

How can supply chain integration be improved to enhance value addition and reduce import dependency in the Indian electronics system?

Global electronic products rely heavily on passive components, accounting for about 48% of the components, and active components, which comprise the remaining 52%. The global chip shortage raised concerns, and many governments started working to address this issue. With regard to PCB manufacturing and passive component production, areas like Okhla Industrial Estate, Mayapuri Industrial Area, and Lawrence Road (in New Delhi) contribute significantly to the electronics sector. However, over time, the focus shifted towards importing

complete knockdown (CKDs) kits, including PCBs, rather than manufacturing them locally.

This shift impacted the domestic PCB manufacturing industry and led to environmental concerns due to improper disposal of chemicals used in the manufacturing process. India has the capability to manufacture simple components like transformers, capacitors, and transistors, which do not require extensive expertise. By encouraging and supporting local production of these passive components and other critical components like lithium-ion batteries, India can create a self-sustaining ecosystem for the electronics industry, reducing dependence on imports and fostering domestic manufacturing.

The recent announcement by the government to refund 10% of the GST to the state governments for the development of the industry demonstrates the government's commitment to supporting the electronics sector and encouraging investments. The government and industry stakeholders must collaborate and invest in creating a complete ecosystem for component manufacturing in India. The government should implement proper regulations and encourage the adoption of environmentally friendly practices in the electronics industry. By taking steps to mitigate environmental hazards, the government can strike a balance between industrial growth and environmental sustainability. Leveraging the expertise of organisations like the Federation of Indian Export Organisation (FIEO) and electronic promotion councils can further support and guide the industry.

Can you tell us the prerequisites for creating a high-value addition economy concerning the electronics industry?

High-value addition can be achieved only if the percentage of local value addition is increased. While